

Marketing Management - BBA

Sem 3 Notes

BBA Semester 3 — Course Code F010303TN — Detailed Notes

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Unit I: Introduction to Marketing

(BBA Sem 3 — F010303TN — 11 Lectures)

1. Definition, Nature, Scope & Importance of Marketing

Definition

Marketing can be defined as: > “The activity, set of institutions, and processes for creating, communicating, delivering, and exchanging offerings that have value for customers, clients, partners, and society at large.” (American Marketing Association)

Simplified: Marketing is not just about selling — it’s the entire process of understanding what customers need, creating something of value for them, and building a relationship that benefits both the customer and the organization.

Nature of Marketing

- **Customer-centric** — Marketing begins and ends with the customer; every activity is oriented around identifying and satisfying customer needs.
- **A continuous process** — Marketing doesn’t stop at the sale; it involves ongoing activities from market research to after-sales service and relationship building.
- **An exchange process** — At its core, marketing facilitates an exchange of value (product/service for money, or even for loyalty, ideas, or support in non-profit contexts).
- **Both an art and a science** — It requires creativity (advertising, branding) as well as analytical rigor (market research, data analysis).
- **Dynamic and evolving** — Marketing practices constantly change with technology, consumer behavior, and market conditions (e.g., the shift toward digital marketing).
- **Integrated function** — Marketing interacts closely with other business functions like production, finance, and HR to ensure the organization delivers value effectively.

Scope of Marketing

Marketing’s scope extends across: - **Goods marketing** — Physical products (FMCG, electronics, etc.) - **Services marketing** — Intangible offerings (banking, education, healthcare) - **Ideas marketing** — Social causes, public awareness campaigns (e.g., anti-

smoking campaigns) - **Place marketing** — Promoting cities, states, or countries (e.g., tourism campaigns) - **Person marketing** — Building the personal brand of celebrities, politicians, or professionals - **Event marketing** — Promoting concerts, exhibitions, sports events - **Organization marketing** — Building the image/reputation of the organization itself

Importance of Marketing

- **Creates value for customers** — Helps identify and fulfill customer needs effectively, improving quality of life.
- **Drives business growth and revenue** — Directly generates sales and builds long-term profitability.
- **Builds brand identity and loyalty** — Helps organizations differentiate themselves and build lasting customer relationships.
- **Facilitates economic development** — Efficient marketing systems support production, distribution, and consumption cycles that drive the broader economy.
- **Generates employment** — Marketing activities (sales, advertising, research, distribution) create significant employment opportunities.
- **Encourages innovation** — Competition in the market pushes organizations to continuously innovate and improve their offerings.

Exam tip: “Nature and importance of marketing” is a strong 6-mark question — structure the answer with 3-4 nature points and 3-4 importance points, keeping them clearly separated under sub-headings.

| 2. Core Marketing Concepts

These are the foundational building blocks that underpin all marketing theory and practice:

- **Needs, Wants, and Demands**
 - *Needs* — Basic human requirements (food, shelter, safety, belonging) that exist regardless of marketing.
 - *Wants* — Needs shaped by culture, personality, and individual preference (e.g., a need for food might become a want for pizza).
 - *Demands* — Wants backed by the ability and willingness to pay (e.g., wanting a car becomes demand only when the person can afford and intends to buy it).
- **Market Offerings** — The combination of products, services, information, and experiences offered to satisfy a need or want. Marketers must avoid “marketing myopia” — focusing too narrowly on the physical product rather than the underlying benefit it provides.

- **Value, Satisfaction, and Quality**

- *Value* — The customer's assessment of a product's overall capacity to satisfy their needs, weighed against its cost.
- *Satisfaction* — The extent to which a product's perceived performance matches (or exceeds) the buyer's expectations.
- *Quality* — The characteristics of a product/service that bear on its ability to satisfy stated or implied needs; directly linked to customer satisfaction and value.

- **Exchange and Transactions**

- *Exchange* — The act of obtaining a desired product/service from someone by offering something in return (usually money); considered the core concept underlying marketing.
- *Transaction* — A trade of values between two parties — involves at least two things of value, agreed-upon conditions, a time of agreement, and a place of agreement.

- **Marketing Channels** — The paths through which products, communication, and information flow from producer to consumer (distribution channels, communication channels, service channels).

- **Competition** — All the actual and potential rival offerings a buyer might consider — marketers must understand not just direct competitors but also substitute products and alternative ways customers might satisfy the same need.

- **Marketing Environment** — The internal and external factors (economic, social, technological, legal, competitive) that influence an organization's ability to build and maintain relationships with customers.

Exam tip: "Explain core marketing concepts" is a common 6-mark question — needs/wants/demands and value/satisfaction/quality are the two most frequently tested sub-groups; make sure you can define each term individually.

3. Market Orientations (Marketing Management Philosophies)

This refers to the different philosophies organizations have historically adopted regarding how they should conduct their marketing and business activities. This is one of the most important and frequently tested topics in this unit.

1. Production Concept

Holds that consumers will favor products that are widely available and inexpensive. The organizational focus is on achieving high production efficiency, low costs, and mass distribution. This philosophy works

well in situations of high demand and low supply, or when production costs need to be brought down to expand the market. - *Example logic*: “Make it cheap and available everywhere, and people will buy it.”

2. Product Concept

Holds that consumers favor products offering the most quality, performance, or innovative features. Organizations following this concept focus heavily on continuously improving their product, sometimes without adequately checking whether the market actually wants those improvements — leading to the risk of “marketing myopia” (falling in love with the product rather than the customer’s need). - *Example logic*: “If we build a better mousetrap, customers will beat a path to our door.”

3. Selling Concept

Holds that consumers, if left alone, will ordinarily not buy enough of the organization’s products — so the organization must undertake aggressive selling and promotion efforts. This concept is typically applied to unsought goods (e.g., insurance, encyclopedias) that buyers don’t normally think of buying. - *Example logic*: Focus is on converting products into cash through hard selling, rather than building long-term customer relationships.

4. Marketing Concept

Holds that achieving organizational goals depends on understanding the needs and wants of target markets and delivering the desired satisfaction more effectively and efficiently than competitors. Unlike the selling concept (which starts from the factory and focuses on existing products), the marketing concept starts from the customer’s needs and works backward to design offerings. - *Example logic*: “Find wants and fill them,” rather than “Make and sell.”

5. Societal Marketing Concept

An extension of the marketing concept — holds that the organization should determine the needs and wants of target markets and deliver superior value in a way that maintains or improves both the consumer’s and society’s well-being. This concept balances three considerations: company profits, consumer wants, and society’s long-term interests (e.g., sustainability, ethical sourcing, public health). - *Example logic*: Marketing decisions should consider not just “does the customer want this?” but also “is this good for society in the long run?”

Comparison Table

Orientation	Core Focus	Risk if Overused
Production	Efficiency, low cost,	Ignoring product

	availability	quality/customer needs
Product	Product quality and features	Marketing myopia — ignoring actual market needs
Selling	Aggressive promotion and selling	Short-term sales at cost of long-term customer trust
Marketing	Understanding and satisfying customer needs	Requires continuous market research investment
Societal Marketing	Customer satisfaction + societal welfare	Can raise costs; balancing profit vs. social good is challenging

Exam tip: This is almost guaranteed to appear as a 6-mark question (“Explain the different marketing management philosophies/orientations”) — list and explain all five concepts in the order above (this is also roughly their historical evolution), and use the comparison table for quick recall.

4. Overview of Digital & Green Marketing (Contemporary Context)

Digital Marketing

Digital marketing refers to marketing activities conducted through digital channels — the internet, mobile devices, social media, search engines, and other digital platforms — to reach and engage customers.

Key components/trends: - **Search Engine Marketing (SEM) & SEO** — Improving visibility on search engines through paid ads and organic optimization. - **Social Media Marketing** — Using platforms like Instagram, Facebook, LinkedIn to engage audiences and build brand communities. - **Content Marketing** — Creating valuable, relevant content (blogs, videos) to attract and retain a defined audience. - **Email Marketing** — Direct, personalized communication with customers via email campaigns. - **Influencer Marketing** — Partnering with social media influencers to reach their engaged audiences. - **E-commerce Integration** — Enabling direct online purchase through websites and apps.

Why it matters: Digital marketing allows for precise targeting, real-time performance measurement (analytics), lower costs compared to traditional media, and two-way interaction with customers.

Green Marketing

Green marketing refers to the practice of developing and promoting products and services based on their environmental benefits — such products may be environmentally friendly in themselves, or produced/packaged in an environmentally sustainable way.

Key aspects: - **Sustainable product design** — Using eco-friendly materials, reducing waste, and designing for recyclability. - **Eco-friendly packaging** — Reducing plastic use, adopting biodegradable packaging. - **Sustainable sourcing and production** — Ensuring the supply chain minimizes environmental harm. - **Green communication/branding** — Transparently communicating environmental credentials (e.g., carbon-neutral claims, certifications) to build trust with environmentally conscious consumers — while avoiding “greenwashing” (misleading claims of environmental friendliness).

Why it matters: Rising consumer awareness of environmental issues, stricter government regulations, and the pursuit of long-term sustainability are pushing organizations to integrate green practices into their marketing strategy — this also increasingly overlaps with the societal marketing concept discussed above.

Exam tip: A 2-mark question might simply ask “What is digital marketing?” or “What is green marketing?” — be ready with a crisp one-line definition plus one example for each.

Quick Revision Summary

Topic	One-line takeaway
Definition of marketing	Creating, communicating, delivering, and exchanging value for customers and society
Nature of marketing	Customer-centric, continuous, an exchange process, dynamic, both art and science
Scope of marketing	Goods, services, ideas, place, person, event, organization marketing
Core concepts	Needs/wants/demands, value/satisfaction/quality, exchange/transactions, channels, competition
Market orientations	Production → Product → Selling → Marketing → Societal Marketing
Production concept	Focus on efficiency and availability
Product concept	Focus on quality/features (risk: marketing myopia)
Selling concept	Aggressive promotion of existing products
Marketing concept	Start with customer needs, work backward
Societal marketing	Balances company profit, consumer wants, and societal welfare
Digital marketing	SEO, social media, content, email, influencer marketing
Green marketing	Eco-friendly products, packaging, sourcing, and communication

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Unit II: Consumer Behaviour

(BBA Sem 3 — F010303TN — 11 Lectures)

| 1. Consumer Behaviour: Concept & Importance

Concept

Consumer Behaviour refers to the **study of how individuals, groups, and organizations select, buy, use, and dispose of goods, services, ideas, or experiences** to satisfy their needs and wants. It examines not just the final purchase decision, but the entire psychological and social process leading up to it — why consumers want something, how they evaluate options, and how they behave after the purchase.

In simple terms: Consumer Behaviour tries to answer *why* people buy what they buy, *how* they decide, and *what* influences those decisions.

Importance of Studying Consumer Behaviour

- **Helps design effective marketing strategies** — Understanding what drives purchase decisions allows marketers to tailor products, pricing, and promotion to actual consumer motivations rather than guesswork.
 - **Aids market segmentation** — Insight into consumer behavior patterns helps identify distinct groups of customers with similar needs, enabling more precise targeting.
 - **Improves product development** — Understanding unmet needs and preferences guides the design of new products/features that genuinely resonate with the target market.
 - **Enhances customer satisfaction and loyalty** — When marketing strategies are built around a genuine understanding of the customer, satisfaction and repeat purchase behavior improve.
 - **Supports better promotional decisions** — Knowing how consumers process information helps marketers craft more persuasive and relevant advertising messages.
 - **Assists in predicting market trends** — Studying shifts in consumer attitudes and behavior helps organizations anticipate and adapt to changing market demand.
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| 2. Factors Influencing Consumer Behaviour

Consumer behavior is shaped by four broad categories of factors. This is one of the most heavily tested topics in this unit.

A. Cultural Factors

Culture has the broadest and deepest influence on a person's wants and behavior, as it is learned from family and other key institutions from childhood. - **Culture** — The set of basic values, perceptions, wants, and behaviors learned by a member of society from family and other important institutions. It shapes what is considered acceptable, desirable, or normal consumption behavior. - **Subculture** — Smaller groups within a culture that share common value systems based on shared life experiences — e.g., nationalities, religions, racial groups, or geographic regions — each providing more specific identification and socialization for members. - **Social Class** — Relatively permanent and ordered divisions in society whose members share similar values, interests, and behaviors, typically based on a combination of occupation, income, education, and wealth. Social class strongly influences preferences for brands, products, and even leisure activities.

B. Social Factors

- **Reference Groups** — Groups that have a direct or indirect influence on a person's attitudes or behavior (e.g., family, friends, colleagues, or aspirational groups the person looks up to but doesn't belong to). Reference groups can influence a person's product and brand choices, especially for visible/socially consumed products.
- **Family** — The most influential primary reference group; family members can significantly influence buying behavior, and marketers are often interested in the roles and relative influence of the husband, wife, and children in the purchase of different products/services.
- **Roles and Status** — A person's position in each group they belong to (family, club, organization) can be defined in terms of role and status. People often choose products that communicate their role and status in society (e.g., a senior executive may buy a premium car partly to signal their position).

C. Personal Factors

- **Age and Life-Cycle Stage** — People buy different goods and services throughout their life (e.g., diapers to retirement products), and buying patterns are shaped by the family life cycle (young singles, young married couples, families with children, empty nesters, etc.).
- **Occupation and Economic Circumstances** — A person's occupation influences the goods and services bought (e.g., a construction worker buys different clothing than a corporate executive); economic circumstances (spendable income, savings, borrowing power) directly affect product choice.
- **Lifestyle** — A person's pattern of living as expressed in their activities, interests, and opinions — capturing more than just social class or personality, it profiles a person's whole pattern of

interacting with the world.

- **Personality and Self-Concept** — Each person's distinct psychological characteristics (self-confidence, dominance, sociability, adaptability) lead to relatively consistent responses to their environment; marketers try to use personality traits relevant to product/brand choice, and often try to develop brand images that match target consumers' self-concept (how they see themselves).

D. Psychological Factors

- **Motivation** — A need becomes a motive when it is aroused to a sufficient level of intensity to drive a person to act. Maslow's Hierarchy of Needs is commonly used to explain how different needs (physiological, safety, social, esteem, self-actualization) drive different purchase motivations at different times.
- **Perception** — The process by which a person selects, organizes, and interprets information inputs to create a meaningful picture of the world; two people with the same motivation may act differently because they perceive a situation differently (e.g., due to selective attention, selective distortion, or selective retention).
- **Learning** — Changes in an individual's behavior arising from experience; as people act, they learn, and this learning shapes future buying behavior (e.g., a satisfying experience with a brand reinforces future purchase of that brand).
- **Beliefs and Attitudes** — A belief is a descriptive thought a person holds about something (which may or may not be accurate); an attitude is a person's relatively consistent evaluations, feelings, and tendencies toward an object or idea. Attitudes are difficult to change and strongly guide consistent buying behavior once formed.

Exam tip: "Factors affecting consumer behaviour" is a very high-probability 6-mark question — structure your answer using these four categories (Cultural, Social, Personal, Psychological) as sub-headings, with 2-3 points under each. For a 2-mark question, name all four categories with one example each.

| 3. Marketing Information System (MIS)

Meaning

A Marketing Information System is a **structured, ongoing system of people, equipment, and procedures designed to gather, sort, analyze, evaluate, and distribute needed, timely, and accurate information to marketing decision-makers**. It ensures that managers have continuous access to relevant data — not just data collected occasionally through one-off research projects.

Importance of MIS

- **Enables timely decision-making** — Provides managers with up-to-date information needed to respond quickly to market changes.
- **Reduces uncertainty and risk** — Systematic information gathering reduces reliance on guesswork or intuition in marketing decisions.
- **Improves coordination** — Ensures relevant marketing information flows efficiently between different departments and levels of management.
- **Supports both short-term and long-term planning** — MIS provides ongoing data useful for daily operational decisions as well as long-term strategic planning.

Scope/Components of MIS

A typical MIS is made up of four sub-systems: 1. **Internal Records System** — Data generated from within the organization itself (sales reports, order-to-payment cycle data, inventory levels). 2. **Marketing Intelligence System** — A set of procedures and sources used by managers to obtain everyday information about developments in the external marketing environment (e.g., tracking competitor activity, industry news). 3. **Marketing Research System** — The systematic design, collection, analysis, and reporting of data relevant to a specific marketing situation the organization faces (covered in detail below). 4. **Marketing Decision Support System (MDSS)** — A coordinated collection of data, systems, tools, and techniques, supported by hardware and software, that an organization uses to gather and interpret relevant information and turn it into a basis for marketing action.

Exam tip: “Explain the components of MIS” is a common 6-mark question — name and briefly explain all four sub-systems above.

| 4. Marketing Research

Meaning

Marketing Research is the **systematic design, collection, recording, analysis, and interpretation of data relevant to a specific marketing problem or opportunity** faced by an organization. Unlike the broader Marketing Information System (which is continuous), marketing research is typically project-specific — undertaken to answer a particular question (e.g., “Should we launch this new product?”).

Importance of Marketing Research for Decision-Making

- Helps identify and understand customer needs, preferences, and

behavior accurately

- Reduces the risk of costly business mistakes by testing assumptions before major investment (e.g., product launches, pricing changes)
- Provides insight into competitor strategies and market positioning
- Helps evaluate the effectiveness of marketing programs (advertising, promotions) after implementation
- Supports evidence-based, rather than intuition-based, managerial decision-making

The Marketing Research Process (sequential steps)

1. **Problem/Objective Definition** — Clearly defining the marketing problem or decision the research needs to address; this is the most critical step, as a poorly defined problem leads to irrelevant research.
2. **Development of the Research Plan** — Deciding on data sources (primary/secondary), research approaches, research instruments (questionnaires), sampling plan, and contact methods.
3. **Data Collection** — Gathering the actual data, using primary methods (surveys, observation, experiments, focus groups) and/or secondary sources (existing reports, published data, company records).
4. **Data Analysis and Interpretation** — Processing the collected data using statistical tools to extract meaningful findings and insights relevant to the original research objective.
5. **Presentation of Findings** — Communicating the results to decision-makers, typically through a research report with clear, actionable recommendations.
6. **Decision-Making** — Managers use the research findings, combined with judgment, to make the actual marketing decision.

Exam tip: For a 6-mark question on “the marketing research process,” list the 6 steps in sequence, similar to how you handled the HRP process in HRM — examiners reward clear sequential structure.

Tools/Methods of Marketing Research

Primary Data Collection Methods:

- **Surveys/Questionnaires** — Structured sets of questions administered to a sample of respondents; useful for gathering descriptive information about attitudes, preferences, and behavior at scale.
- **Observation** — Researchers observe relevant people, actions, and situations directly (e.g., observing in-store shopper behavior) without directly interacting with subjects.
- **Focus Groups** — A small group of people (usually 6-10) brought together to discuss a product, concept, or issue under the guidance of a trained moderator, generating qualitative insights.
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Experiments — Researchers select matched groups of subjects, expose them to different treatments (e.g., different pricing or packaging), and measure the differences in responses to test cause-and-effect relationships.

Secondary Data Sources: - Internal company records, government publications, industry reports, trade association data, and commercial data services.

Primary vs. Secondary Data (bonus, commonly confused)

Basis	Primary Data	Secondary Data
Source	Collected fresh, specifically for the current research problem	Already collected by someone else for a different purpose
Cost	Generally more expensive and time-consuming	Generally cheaper and quicker to access
Relevance	Highly specific and relevant to the exact problem	May not perfectly match current research needs
Examples	Surveys, interviews, observation, experiments	Government reports, industry publications, company records

Quick Revision Summary

Topic	One-line takeaway
Consumer Behaviour	Study of how individuals select, buy, use, and dispose of products to satisfy needs
Importance	Guides strategy, segmentation, product development, and promotion decisions
Cultural factors	Culture, subculture, social class
Social factors	Reference groups, family, roles & status
Personal factors	Age/life-cycle, occupation, economic circumstances, lifestyle, personality
Psychological factors	Motivation, perception, learning, beliefs & attitudes
MIS meaning	Ongoing system to gather, analyze, and distribute marketing information
MIS components	Internal records, marketing intelligence, marketing research, decision support system
Marketing Research meaning	Systematic study of data relevant to a specific marketing problem
MR process	Define problem → research plan → data collection → analysis → present findings → decision
MR tools	Surveys, observation, focus groups, experiments (primary); reports/records (secondary)

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Unit III: STP Strategy

(BBA Sem 3 — F010303TN — 10 Lectures)

| 1. Market Segmentation

Concept

Market Segmentation is the **process of dividing a large, heterogeneous (varied) market into smaller, more homogeneous (similar) groups of consumers who share similar needs, characteristics, or behaviors**, so that the organization can design and deliver more targeted marketing strategies for each group.

The underlying logic: no single product or marketing approach can satisfy every consumer equally well, since consumers differ widely in their needs, preferences, and buying behavior. By segmenting the market, an organization can identify which groups it can serve most effectively and profitably, rather than adopting a “one-size-fits-all” approach.

Importance of Market Segmentation

- **Better understanding of customer needs** — Allows the organization to identify the specific needs and preferences of distinct customer groups rather than treating the market as uniform.
- **More effective resource allocation** — Marketing budgets and efforts can be focused on the most profitable or promising customer segments.
- **Improved product development** — Segmentation reveals gaps in the market, guiding the design of products/features tailored to specific segment needs.
- **More precise and efficient marketing communication** — Advertising and promotional messages can be tailored to resonate with each specific segment, improving effectiveness and reducing wasted spend.
- **Competitive advantage** — Organizations that understand and serve specific segments better than competitors can build stronger customer loyalty in that segment.
- **Identifies new market opportunities** — Segmentation analysis can reveal underserved or emerging segments that competitors have overlooked.

Bases for Market Segmentation

Markets can be segmented using several different variables, often used in combination:

1. **Geographic Segmentation** — Dividing the market based on location: nations, states, regions, cities, or even neighborhoods/climate zones. (e.g., a company may sell heavier winter clothing in colder regions.)
2. **Demographic Segmentation** — Dividing the market based on variables like age, gender, income, occupation, education, family size, and religion. This is one of the most commonly used bases because demographic variables are relatively easy to measure and strongly correlate with consumer needs and preferences.
3. **Psychographic Segmentation** — Dividing buyers based on psychological/lifestyle traits: social class, lifestyle, personality characteristics, values, and interests. (e.g., segmenting consumers as “health-conscious” or “adventure-seeking.”)
4. **Behavioral Segmentation** — Dividing buyers based on their knowledge, attitude, usage, or response to a product. Sub-bases include:
 - **Occasion** — When consumers purchase or use a product (e.g., festival-related purchases)
 - **Benefits sought** — What primary benefit the consumer looks for (e.g., segmenting toothpaste buyers by those seeking whitening vs. cavity protection vs. fresh breath)
 - **User status** — Non-users, ex-users, first-time users, regular users
 - **Usage rate** — Light, medium, or heavy users of a product
 - **Loyalty status** — How loyal a consumer is to a particular brand

Exam tip: “Bases of market segmentation” is one of the most frequently tested 6-mark questions — list all four bases (Geographic, Demographic, Psychographic, Behavioral) with 2 sub-examples under each.

| 2. Targeting

Concept

Market Targeting is the **process of evaluating each market segment’s attractiveness and selecting one or more segments to enter and serve** with a tailored marketing strategy. It logically follows segmentation — after dividing the market into segments, the organization must decide which segment(s) are worth pursuing.

Criteria for Evaluating Segments (before selecting a target)

- **Segment size and growth** — Is the segment large enough and growing fast enough to be worth pursuing?

- **Segment structural attractiveness** — How intense is competition within the segment? Are there threats from substitutes or powerful buyers/suppliers?
- **Company objectives and resources** — Does entering this segment align with the company's long-term goals, and does the company have the resources/capabilities to serve it effectively?

Types of Targeting Strategies

1. **Undifferentiated (Mass) Marketing** — The organization ignores segment differences and targets the whole market with one offer, focusing on what is common in the needs of consumers rather than what is different. This minimizes costs (production, advertising) but risks failing to satisfy any segment as well as a more focused competitor could.
2. **Differentiated (Segmented) Marketing** — The organization targets several different market segments and designs separate offers/marketing strategies for each. This typically creates more total sales and stronger positioning within each segment, but increases the cost of doing business (more product variations, more marketing campaigns).
3. **Concentrated (Niche) Marketing** — The organization goes after a large share of one or a few smaller segments or niches, rather than going after a small share of a large market. This allows the organization to achieve a strong market position in the segments it serves, with deep knowledge of customer needs — but carries higher risk, since the organization's fortunes depend heavily on that one segment's performance.
4. **Micromarketing** — Tailoring products and marketing programs to the needs and preferences of very specific individuals or local customer segments; includes:
 - **Local marketing** — Adapting brands and promotions to the needs of local customer groups (cities, neighborhoods, even specific stores)
 - **Individual marketing** — Tailoring products and marketing programs to the needs and preferences of individual customers (mass customization, e.g., personalized recommendations, custom-built products)

Comparison Table

Strategy	Approach	Risk
Undifferentiated	One offer for the whole market	May not satisfy any segment deeply
Differentiated	Separate offers for multiple segments	Higher cost of production and marketing
Concentrated	Deep focus on one/few	High dependency risk on

	segments	that segment
Micromarketing	Customization to local/individual level	Can be resource-intensive to scale

Exam tip: “Types of targeting strategies” is a classic 6-mark question — explain all four (Undifferentiated, Differentiated, Concentrated, Micromarketing) with one example/risk for each.

| 3. Positioning

Concept

Positioning refers to **arranging for a product to occupy a clear, distinctive, and desirable place relative to competing products in the minds of target consumers**. Positioning is not about what is actually done to the product, but about what is done to the mind of the prospective customer — it’s how the brand is perceived relative to alternatives.

A good positioning statement answers: “For [target segment], our brand is the [category] that provides [key benefit] because [reason to believe].”

Brand Positioning

Brand Positioning specifically focuses on defining a brand’s unique value in the minds of consumers relative to competing brands, typically built around: - **Attributes** — Specific product features (e.g., “longest battery life”) - **Benefits** — What the attribute translates into for the customer (e.g., “never worry about charging during the day”) - **Beliefs and Values** — Deeper emotional or aspirational associations the brand represents (e.g., a brand positioned around sustainability or empowerment)

Repositioning

Repositioning is the process of **changing the identity of a product or brand relative to the identity of competing products/brands**, in the collective minds of the target market. Organizations reposition when: - The original positioning is no longer effective (due to changing consumer preferences) - New competitors have entered with a similar or stronger position - The organization wants to attract a new customer segment - The brand’s image has become outdated or damaged

Example logic: A brand once positioned as “budget-friendly” might reposition itself as “premium and reliable” to move into a higher-margin segment.

Points of Parity and Points of Difference (useful positioning framework)

- **Points of Parity (POPs)** — Attributes/benefits that are not necessarily unique to the brand but may be shared with other brands; needed to be considered a legitimate player in the category.
- **Points of Difference (PODs)** — Attributes/benefits that consumers strongly associate with a brand, positively evaluate, and believe they could not find to the same extent with a competing brand; these form the core of differentiation.

Exam tip: “Explain the concept of positioning” and “difference between positioning and repositioning” are both common 2-mark/6-mark questions — be ready to define positioning crisply and explain why/when repositioning becomes necessary.

| 4. Introduction to Value Proposition

Concept

A Value Proposition is a **clear statement of the tangible results a customer will get from using a company’s product or service**, and why this offering is superior to alternatives in the market. It answers the fundamental customer question: “Why should I buy from you instead of a competitor?”

A strong value proposition typically communicates: - **Relevance** — How the product solves the customer’s problem or improves their situation - **Quantified value** — The specific benefits the product delivers (time saved, money saved, quality improved) - **Differentiation** — Why the customer should choose this brand over competing alternatives

Why Value Proposition Matters

- It forms the foundation on which effective positioning is built — a brand’s positioning in the market should directly reflect and communicate its value proposition.
- It guides all downstream marketing mix decisions (product features, pricing, messaging) to remain consistent and customer-focused.
- A clear, compelling value proposition helps convert prospects into customers by making the reason to buy immediately obvious.

Exam tip: This is typically a shorter 2-mark “define value proposition” question — keep your answer crisp: value proposition = the specific value/benefit a brand promises to deliver, and why it’s better than alternatives.

STP — The Full Picture (how the three stages connect)

Stage	Core Question	Output
Segmentation	How can we divide this market into meaningful groups?	Distinct customer segments
Targeting	Which of these segments should we serve?	Selected target segment(s)
Positioning	How do we want our brand to be perceived by the target segment relative to competitors?	A clear, distinctive brand position in the customer's mind

Exam tip: A 6-mark question may directly ask “Explain the STP process” — walk through all three stages in sequence using the table logic above, since STP is inherently a sequential strategic process.

Quick Revision Summary

Topic	One-line takeaway
Market Segmentation	Dividing a heterogeneous market into homogeneous groups
Segmentation bases	Geographic, Demographic, Psychographic, Behavioral
Targeting	Evaluating and selecting which segment(s) to serve
Targeting criteria	Segment size/growth, structural attractiveness, company objectives/resources
Targeting strategies	Undifferentiated, Differentiated, Concentrated, Micromarketing
Positioning	Creating a distinctive place for the brand in the customer's mind
Brand positioning basis	Attributes, benefits, beliefs & values
Repositioning	Changing brand identity/perception when the old position stops working
POP vs POD	POP = shared category attributes; POD = unique differentiating attributes
Value proposition	The specific value a brand promises and why it beats alternatives
STP flow	Segmentation → Targeting → Positioning

Unit IV: Marketing Mix (4Ps)

(BBA Sem 3 — F010303TN — 13 Lectures)

| Introduction to the Marketing Mix

The Marketing Mix refers to the **set of controllable tactical marketing tools — Product, Price, Place, and Promotion (the 4Ps) — that an organization blends together to produce the response it wants in the target market.** While STP (covered in Unit III) determines *who* to target and *how* to position the brand, the marketing mix determines the *actual tools* used to deliver that value proposition to the target market.

| 1. Product

Product Mix

The Product Mix (or product assortment) is the **set of all products and items that a particular seller offers for sale.** It has four important dimensions: - **Width** — The number of different product lines the company carries - **Length** — The total number of items in the product mix across all lines - **Depth** — The number of variants (sizes, flavors, models) offered within each product line - **Consistency** — How closely related the various product lines are in terms of end use, production requirements, or distribution channels

Example logic: A company like Procter & Gamble has a wide product mix (detergents, diapers, shampoos) with considerable depth within each line (multiple variants of each product).

New Product Development (NPD)

NPD refers to the **process of bringing an original, improved, modified, or new-to-market product to market.** This is critical because organizations need a continuous pipeline of new products to survive changing consumer needs and competitive pressure.

Typical stages of NPD: 1. **Idea Generation** — Systematically searching for new product ideas, from internal sources (R&D, employees) and external sources (customers, competitors, distributors) 2. **Idea Screening** — Filtering out poor ideas early to focus resources on the most promising concepts 3. **Concept Development & Testing** — Developing the product idea into a detailed concept and testing it with target consumers 4. **Marketing Strategy Development** — Designing an initial marketing strategy for introducing the product to the market 5. **Business Analysis** —

Reviewing sales, cost, and profit projections to determine if the product satisfies company objectives 6. **Product Development** — Developing the product concept into an actual physical/technical product 7. **Test Marketing** — Introducing the product in a realistic market setting to see how consumers and dealers respond before full-scale launch 8. **Commercialization** — Launching the product fully into the market

Exam tip: NPD stages are a strong 6-mark “list and explain” question — memorize the 8-step sequence above.

Product Life Cycle (PLC)

The PLC describes the **stages a product’s sales and profits typically go through over its lifetime in the market**, from introduction to eventual decline. Understanding which stage a product is in helps marketers choose the right strategy at each point.

Stage	Characteristics	Typical Strategy
Introduction	Slow sales growth, low/negative profits, high promotional cost	Build product awareness, encourage trial
Growth	Rapid sales increase, rising profits, new competitors enter	Improve quality, expand distribution, build brand preference
Maturity	Sales growth slows/peaks, intense competition, profits stabilize or decline	Modify the market/product, defend market share, differentiate
Decline	Sales and profits fall	Harvest, reduce costs, or discontinue the product

Exam tip: PLC is one of the most commonly tested 6-mark topics — draw/describe the four stages in sequence with sales trend and one strategy for each.

Branding

Branding is the process of giving a product a name, term, sign, symbol, or design (or combination) intended to identify it and differentiate it from competitors’ products. Strong branding builds: - **Brand awareness** — Consumer ability to recognize/recall the brand - **Brand loyalty** — Repeated preference for the brand over alternatives - **Brand equity** — The added value a brand name gives to a product beyond its functional benefits

Packaging

Packaging refers to the activities of **designing and producing the container or wrapper for a product**. Packaging serves both functional roles (protection, convenience, storage) and marketing

roles (attracting attention, communicating brand identity, differentiating from competitors on the shelf — sometimes called “the five-second commercial”).

Exam tip: “Explain branding and packaging” is a common 2-mark/6-mark pairing — keep branding focused on identity/differentiation and packaging focused on protection + shelf appeal.

| 2. Price

Pricing Methods

Pricing methods are the different systematic approaches organizations use to determine what to charge for a product:

1. **Cost-Based Pricing** — Price is set by adding a standard markup to the cost of producing/distributing the product (cost-plus pricing), ensuring the organization covers its costs and earns a target margin.
2. **Value-Based Pricing** — Price is set based on the perceived value of the product to the customer, rather than solely on production cost — the organization estimates what customers are willing to pay based on the benefits delivered.
3. **Competition-Based Pricing** — Price is set largely with reference to competitors’ prices for similar products, rather than based purely on the organization’s own costs or demand.
4. **Break-Even/Target Profit Pricing** — The organization determines the price that would allow it to break even, or make a target profit, on production and marketing costs of a product, given a certain sales volume assumption.

Adapting Price

Organizations often adjust their basic price to account for various customer differences and changing situations: - **Discount and Allowance Pricing** — Reducing prices to reward customer responses (e.g., cash discounts for prompt payment, quantity discounts for bulk purchases, seasonal discounts). - **Segmented/Promotional Pricing** — Temporarily reducing prices below list price to boost short-term sales (e.g., festival sales, clearance pricing). - **Geographical Pricing** — Adapting prices for customers located in different parts of a country or world (e.g., accounting for shipping costs).

Discriminating (Price Discrimination)

Price discrimination refers to **selling a product or service at two or more prices that do not reflect a proportional difference in costs**, based on differences in customers, products, or locations.

Common forms: - **Customer-segment pricing** — Different customer groups pay different prices for the same product (e.g., student discounts, senior citizen discounts). - **Product-form pricing** — Different versions of the product are priced differently, but not proportionally to their respective costs (e.g., premium vs. standard versions). - **Time-based pricing** — Prices vary by season, day, or even hour (e.g., airline ticket pricing, off-peak electricity rates). - **Location-based pricing** — Different locations are priced differently even though the cost of offering the product at each location is the same (e.g., theater seating price by location).

Exam tip: “Explain pricing methods” and “explain price discrimination with examples” are both frequent 6-mark questions — make sure you can distinguish adapting price (adjusting for situations/discounts) from discriminating price (charging different customer groups differently for essentially the same product).

| 3. Place (Distribution)

Distribution Channels

A distribution channel (marketing channel) is a **set of interdependent organizations involved in the process of making a product or service available for use or consumption by the consumer or business user**. Channels bridge the gap between producers and final consumers.

Types of Distribution Channels:

1. **Direct Channel (Zero-Level Channel)** — The manufacturer sells directly to the final consumer, with no intermediaries (e.g., company-owned retail stores, direct online sales).
2. **Indirect Channels** — Involve one or more intermediaries between the manufacturer and the final consumer:
 - **One-Level Channel** — Manufacturer → Retailer → Consumer
 - **Two-Level Channel** — Manufacturer → Wholesaler → Retailer → Consumer
 - **Three-Level Channel** — Manufacturer → Agent/Broker → Wholesaler → Retailer → Consumer (common for complex or widely dispersed markets)

Types of Distribution Intensity

- **Intensive Distribution** — Stocking the product in as many outlets as possible (used for convenience goods like snacks, toiletries,

where availability is key).

- **Selective Distribution** — Using more than one but fewer than all intermediaries willing to carry the product (balances market coverage with control and cost).
- **Exclusive Distribution** — Giving a limited number of dealers the exclusive right to distribute the product within their territories (often used for premium or specialty goods, to maintain brand image and control).

Logistics

Marketing/physical distribution logistics involves **planning, implementing, and controlling the physical flow of materials and final goods from points of origin to points of use**, to meet customer requirements at a profit. Key logistics functions include: - **Order processing** — Handling and fulfilling customer orders efficiently - **Warehousing** — Storing goods between production and consumption - **Inventory management** — Balancing stock levels to avoid both stockouts and excess holding costs - **Transportation** — Selecting the right mode (road, rail, air, sea) to balance cost, speed, and reliability

Exam tip: “Types of distribution channels” and “levels of distribution” are common 6-mark questions — clearly distinguish direct vs. indirect channels, and be ready to explain intensive/selective/exclusive distribution with one example each.

| 4. Promotion

Promotion Mix

The Promotion Mix (or Marketing Communications Mix) is the **specific blend of promotional tools that a company uses to persuasively communicate customer value and build customer relationships**. It typically consists of five major tools:

1. **Advertising** — Any paid form of non-personal presentation and promotion of ideas, goods, or services by an identified sponsor, through media such as TV, print, digital, radio, or outdoor. Best suited for building broad brand awareness quickly, but is one-way communication and can be costly.
2. **Personal Selling** — Direct, personal presentation by a company's sales force for the purpose of making sales and building customer relationships. Highly effective for complex/high-value products (e.g., B2B sales, real estate), since it allows two-way, tailored communication — but is costly per contact.

3. **Sales Promotion** — Short-term incentives to encourage the purchase or sale of a product or service (e.g., discounts, coupons, contests, free samples, buy-one-get-one offers). Effective for generating quick, short-term boosts in sales, but can reduce perceived brand value if overused.
4. **Public Relations (PR)** — Building good relationships with the company's various publics (customers, media, investors, government) by obtaining favorable publicity, building up a good corporate image, and handling unfavorable rumors or events. PR is often more credible than advertising since it isn't directly paid-for promotion, but the company has less control over the final message.
5. **Digital/Direct Marketing** — Direct connections with carefully targeted individual consumers, often through digital channels (email, social media, search engine marketing, mobile marketing), to both obtain an immediate response and cultivate lasting customer relationships. Increasingly central to modern promotion mixes due to precise targeting and measurability.

Comparison Table

Tool	Nature	Best For
Advertising	Paid, non-personal, one-way	Building broad awareness quickly
Personal Selling	Personal, two-way, costly per contact	Complex, high-value, relationship-driven sales
Sales Promotion	Short-term incentive	Quick boosts in sales/trial
Public Relations	Often unpaid, third-party credibility	Building/protecting brand image and trust
Digital/Direct Marketing	Targeted, measurable, interactive	Personalized engagement and direct response

Exam tip: “Explain the promotion mix tools” is one of the most predictable 6-mark questions in this unit — explain all five tools above with one example and one strength/limitation each.

Quick Revision Summary

Topic	One-line takeaway
Marketing Mix	The 4Ps (Product, Price, Place, Promotion) used to deliver value to the target market
Product Mix	Width, length, depth, and consistency of a company's product offerings
NPD stages	Idea generation → screening → concept dev/testing → strategy → business analysis → product dev → test marketing → commercialization
PLC stages	Introduction → Growth → Maturity →

	Decline
Branding vs Packaging	Branding = identity/differentiation; Packaging = protection + shelf appeal
Pricing methods	Cost-based, value-based, competition-based, break-even/target profit
Adapting price	Discounts/allowances, promotional pricing, geographical pricing
Price discrimination	Customer-segment, product-form, time-based, location-based pricing
Distribution channel levels	Direct (zero-level) vs indirect (one/two/three-level)
Distribution intensity	Intensive, selective, exclusive distribution
Logistics	Order processing, warehousing, inventory management, transportation
Promotion mix tools	Advertising, personal selling, sales promotion, PR, digital/direct marketing